

March 1, 2019

Wayne R. Rohde
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Ms. Rachel Dickon, Secretary
Office of the Secretary
Federal Maritime Commission
Room 1046
800 North Capitol Street, NW
Washington, DC 20573

Re: Toyota de Puerto Rico Corp. v. Puerto Rico Ports Authority, et al.,
FMC Docket No. 19-02

Dear Ms. Dickon:

Enclosed herewith for filing in the above-captioned docket are an original and five (5) copies of the Motion to Dismiss and/or for Summary Judgment of Respondent Crowley Puerto Rico Services, Inc. and the Memorandum of Points and Authorities in support thereof.

The Motion and Memorandum are also being filed electronically.

A copy of this letter and its enclosure has been provided for your acknowledgment of receipt.

Sincerely,

COZEN O'CONNOR



By: Wayne R. Rohde

Enclosure

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 19-02

TOYOTA DE PUERTO RICO CORP.

COMPLAINANT

v.

**PUERTO RICO PORTS AUTHORITY; CROWLEY PUERTO RICO SERVICES,
INC. AND OCEANIC GENERAL AGENCY, INC.**

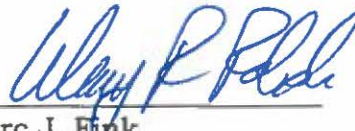
RESPONDENTS

MOTION TO DISMISS AND/OR FOR SUMMARY JUDGMENT

Crowley Puerto Rico Services, Inc., through its counsel, hereby moves for dismissal of the complaint in the above-captioned proceeding in whole and in part. In the alternative, it moves for summary judgment with respect to certain claims set forth in the complaint.

The specific relief requested, and the bases for such relief, are set forth in detail in the attached Memorandum of Points and Authorities.

Respectfully submitted,



Marc J. Fink
Wayne R. Rohde
Matthew Howell
COZEN O'CONNOR
1200 19TH Street, N.W.
Washington, D.C. 20036

Counsel for Respondent Crowley Puerto
Rico Services, Inc.

March 1, 2019

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 19-02

TOYOTA DE PUERTO RICO CORP.

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AND OCEANIC GENERAL AGENCY, INC.**

RESPONDENTS

**MEMORANDUM OF POINTS AND AUTHORITIES IN SUPPORT OF RESPONDENT
CROWLEY PUERTO RICO SERVICES, INC.'S MOTION TO DISMISS AND/OR FOR
SUMMARY JUDGMENT**

Crowley Puerto Rico Services, Inc. ("CPR"), through its counsel, submits this Memorandum of Points and Authorities in support of its Motion to Dismiss and/or for Summary Judgment.

I. BACKGROUND

The complaint alleges that CPR and the other respondents violated various provisions of the Shipping Act of 1984, as amended (the "Shipping Act") in connection with the collection of an Enhanced Security Fee ("ESF") from complainant with respect to motor vehicles transported to Puerto Rico during the period from 2012 to 2017.

II. THE LEGAL STANDARD APPLICABLE TO A MOTION TO DISMISS

Rule 69(g) of the Commission's regulations (46 C.F.R. §502.69(g)) contemplates the filing of a motion to dismiss in a private complaint proceeding. A motion to

dismiss is appropriate if it is clear that no relief may be granted under any set of circumstances that could be proved consistent with the allegations contained in a complaint. See, e.g., *Cargo One, Inc. v. Cosco Container Lines Company, Ltd.*, 28 S.R.R. 1351, 1362 (ALJ 2000) and cases cited therein.¹

As explained further below, even if all of the allegations contained in the complaint are correct (which CPR denies), no relief may be granted by the Commission. Accordingly, the complaint must be dismissed.

III. THE COMPLAINT MUST BE DISMISSED FOR A LACK OF JURISDICTION

The complaint must be dismissed because the Commission has no jurisdiction over CPR.

As paragraph 44 of the complaint correctly notes, Section 40102(6) of the Shipping Act defines a common carrier as:

...a person that—

(i) holds itself out to the general public to provide transportation by water of passengers or cargo **between the United States and a foreign country** for compensation;

(ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and

(iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes **between a port in the United States and a port in a foreign country**...

¹ Where a motion to dismiss involves presentation of matters outside the pleadings, the motion is properly converted into a motion for summary judgment. *Carolina Marine Handling, Inc. v. South Carolina State Ports Authority et. al.*, 30 S.R.R. 1017, 1036 (FMC 2006). Summary judgment is appropriate where “there is no genuine issue as to any material fact and...the moving party is entitled to judgment as a matter of law.” *Euroussa Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc.*, 31 S.R.R. 540, 545 (FMC 2008), citing Federal Rule of Civil Procedure 56. To the extent this motion is treated as a motion for summary judgment, in accordance with the Presiding Officer’s February 6, 2019 Initial Order, a statement of material facts is attached hereto as Exhibit A. Moreover, when considering a motion for summary judgment on the issue of jurisdiction, the Presiding Officer need not construe facts in favor of the non-moving party. *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1518 (ALJ 2000), administratively final April 19, 2000.

(emphasis added). As the plain language of the statute makes clear, in order to be a common carrier subject to the Shipping Act and the Commission's jurisdiction, an entity must be operating a vessel between the United States and a foreign country and using that vessel to transport cargo between the U.S. and a foreign country.

Puerto Rico is a territory of the United States, not a foreign country. 48 U.S.C. Chapter 4; *Crowley Liner Services, Inc. v. Puerto Rico Ports Authority*, 29 S.R.R. 394, 400 (ALJ 2001) ("There is no question but that this Commission has no jurisdiction over carriers operating exclusively in the domestic offshore trades..."). Therefore, in carrying cargo from the U.S. to Puerto Rico, CPR was not acting as a common carrier within the meaning of the Shipping Act.²

Complainant, in an apparent effort to avoid this fatal problem, alleges in paragraph 48 of the complaint that CPR transported complainant's cargo in the foreign commerce of the United States. However, as the affidavit of Jose Ayala ("Ayala Aff.") attached hereto as Exhibit B demonstrates, CPR did not and does not offer a service from Mexico or Japan to Puerto Rico. Ayala Aff., ¶3. Moreover, all of the cargo transported by CPR for complainant was tendered to CPR in Jacksonville, FL and moved from there to Puerto Rico. Ayala Aff., ¶4.

In light of the fact that CPR only moved complainant's cargo from Jacksonville to Puerto Rico, the Shipping Act does not apply to the carriage of such cargo and the

² Even if CPR offered some service in the foreign commerce of the United States, that would not make it a common carrier within the meaning of the Shipping Act for purposes of service between the United States and Puerto Rico. See, *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1522-23 (ALJ 2000), administratively final April 19, 2000 (where carrier operated in both foreign and domestic commerce, FMC had jurisdiction over marine terminal agreement involving carrier, but did not have jurisdiction over carrier's operations in domestic commerce).

Commission has no jurisdiction over said operations. Accordingly, the complaint must be dismissed.³

IV. THE CLAIMS UNDER VARIOUS SECTIONS OF THE SHIPPING ACT MUST BE DISMISSED FOR FAILURE TO STATE A CLAIM UPON WHICH RELIEF MAY BE GRANTED

If the complaint is not dismissed in its entirety, several specific claims must be dismissed for failure to state a claim upon which relief may be granted.

A. **The Claims Under §§ 41104(5) and 41104(9) Must Be Dismissed Because They Are Not Applicable To The Conduct Herein At Issue**

These two prohibitions are not applicable to the conduct of CPR which is the subject of the complaint, and therefore must be dismissed.

Sections 10(b)(5) and 10(b)(9) of the Shipping Act, §§ 41104(5) and (9), provide that a common carrier may not:

(5) **for service pursuant to a service contract**, engage in any unfair or unjustly discriminatory practice in the matter of rates or charges **with respect to any port**;

(9) **for service pursuant to a service contract**, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage **with respect to any port**.

(emphasis added). As the plain language of these provisions makes clear, these provisions apply only when the service in question is provided pursuant to a service contract.

A service contract is defined in relevant part as:

...a written contract, other than a bill of lading or receipt, between one or more shippers, on the one hand, and an individual ocean common carrier or an agreement between or among ocean common carriers, on the other...

³ To the extent the Presiding Officer relies on information outside the pleadings in considering this motion to dismiss, the motion can and should be treated as a motion for summary judgment. See footnote #1.

46 U.S.C. §40102(20). As noted above in section III of this Memorandum of Points and Authorities, CPR is not an ocean common carrier under the Shipping Act.

Accordingly, as a matter of law, any arrangement between it and complainant was not a service contract within the meaning of the Shipping Act, and these provisions are inapplicable.

In addition, as the plain language of these provisions also makes clear, the prohibitions protect only ports, not shippers such as complainant. This is confirmed by the legislative history of the 1998 amendments to the Shipping Act, which explained:

First, sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would protect localities from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts. The Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at a locality, not to circumstances where the actions are targeted at a particular shipper or ocean transportation intermediary which happens to be associated with that locality.

S. Rep. 61, 105th Cong., 1st Sess., p. 28. In light of the plain language and legislative history, it is clear that these provisions were intended to protect ports and localities. Accordingly, a shipper such as complainant lacks standing to assert violations of these provisions.

In light of the foregoing, the complaint should be dismissed as to these claims.

B. The Claim Under §41104(4) Must Be Dismissed Because That Provision Is Inapplicable To The Service Provided By CPR

Because Section 41104(4)(A) does not apply to the service provided to complainant by CPR, the complainant's claim under this section of the statute must be dismissed.

Section 41104(4)(A) of the Shipping Act makes it unlawful for a common carrier to:

(4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of—

(A) rates or charges;

(emphasis added). As explained below, there has been no violation of this prohibition.

All service provided to complainant by CPR in the trade from Jacksonville to Puerto Rico was provided pursuant to a contract. Ayala Aff., ¶5. CPR did not and does not publish a tariff covering the trade from Jacksonville to Puerto Rico under the Shipping Act or FMC regulations. *Id.* Because the service in question was not provided pursuant to an FMC tariff, Section 41104(4)(A) is inapplicable and this portion of the claim must be dismissed.

V. SUMMARY JUDGMENT MUST BE GRANTED WITH RESPECT TO THE STATUTE OF LIMITATIONS AND COMPLAINANT'S ABILITY TO RECOVER DAMAGES

The Shipping Act precludes recovery of damages suffered more than three years prior to the filing of the complaint. 46 U.S.C. §41301(a). Accordingly, CPR is entitled to a summary judgment that complainant is time-barred from recovering any ECF paid prior to the date three years prior to the filing of the complaint.⁴

Under the Shipping Act, claims accrue when the rate or charge that is the basis of the complaint is paid. See *Maier Terminals, LLC v. Port Authority of N.Y. & N.J.*, 32 S.R.R. 1185, 1191 (FMC 2013) ("Absent an exception, a claim accrues (and the statute of limitations begins to run) 'when a defendant commits an act that injures a plaintiff's business.'" (citing *Zenith Radio Corp. v. Hazeltine Research Inc.*, 401 U.S. 321, 338 (1971))).

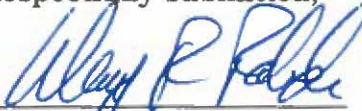
⁴ See footnote #1 for the legal standard applicable to a motion for summary judgment.

The complainant seeks to recover amounts paid between 2012 and 2017. Complaint, ¶28. However, the statute of limitations set forth in 46 U.S.C. §41301(a) bars complainant from recovering reparations for any ESF paid prior to December 20, 2015 (three years prior to the filing of the complaint). Accordingly, if the complaint is not dismissed in whole or in part, the Presiding Officer should issue summary judgment in favor of CPR holding that complainant is not entitled to reparations with respect to any ESF paid prior to December 20, 2015.⁵

V. CONCLUSION

For the foregoing reasons, the complaint should be dismissed in whole or in part, and/or summary judgment granted in favor of respondent CPR.

Respectfully submitted,



Marc J. Fink
Wayne R. Rohde
Matthew Howell
COZEN O'CONNOR
1200 19TH Street, N.W.
Washington, D.C. 20036

Counsel for Respondent Crowley Puerto Rico
Services, Inc.

March 1, 2019

⁵ The FMC has recognized the discovery rule as an exception to the general rule on the accrual of claims. See *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 306 (FMC 2001) (adopting discovery rule); *Maher Terminals, LLC*, 32 S.R.R. at 1191 (holding that "statute of limitations period will not begin to run until a party knew or with reasonable diligence should have known that it had a claim." (citing *Inlet Fish*, 29 S.R.R. at 314)). The discovery rule does not apply here, as complainant was aware of the ESF as of 2011 (complaint, ¶26) and began paying it in 2012 (complaint, ¶28). The complainant knew that some aspects of the ESF had been held unlawful by a federal court in October of 2013 (complaint, ¶33). Thus, no later than October of 2013, complainant knew or should have known that it might have a legal claim with respect to the ESF. Despite the undisputed fact that complainant was aware of the ESF as early as 2011-2012 and knew of legal challenges to the ESF in October of 2013, it did not file the complaint until December of 2018.

EXHIBIT A

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 19-02

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RESPONDENTS

**RESPONDENT CROWLEY PUERTO RICO SERVICES, INC.'S
STATEMENT OF MATERIAL FACTS**

A. Undisputed Material Facts

	Fact	Source
1.	Puerto Rico is a territory of the United States.	48 U.S.C. Chapter 4
2.	Collection of the Enhanced Security Fee ("ESF") imposed by the Puerto Rico Ports Authority began in October of 2011.	Complaint, ¶26.
3.	The ESF has been collected from complainant Toyota de Puerto Rico Corp. since at least 2012.	Complaint, ¶28.
4.	A federal district court held the ESF to be unlawful in October of 2013.	Complaint, ¶33.

B. Other Material Facts

	Fact	Source
5.	CPR does not have, and has not had at any time since 2015, a service from Mexico or Japan to Puerto Rico.	Ayala Affidavit, Exhibit B, ¶3.
6.	All of the cargo transported by CPR for complainant from 2015 to the present was tendered to CPR in Jacksonville, FL and moved from there to Puerto Rico.	Ayala Affidavit, Exhibit B, ¶4.

EXHIBIT B

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 19-02

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RESPONDENTS

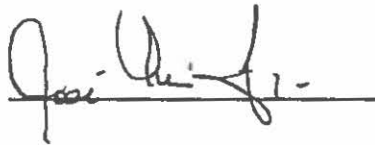
AFFIDAVIT OF JOSE AYALA

1. My name is Jose Ayala. I am currently employed as the Vice President – Caribbean Operations for Crowley Puerto Rico Services, Inc. ("CPR"), a position I assumed earlier this year. From 2011 until the end of 2018, I was employed as Vice-President of CPR.
2. In my current position, I am responsible for overall operation of all liner and logistics services offered by CPR and other Crowley business units operating in the Caribbean region. In my previous position, I had similar responsibility with respect to CPR's operations. Accordingly, I am familiar with all aspects of CPR's operations over the past several years.
3. CPR does not have, and has not had at any time since 2015, a service from Mexico or Japan to Puerto Rico.

4. Based on a review of records maintained in the ordinary course of business, which review I ordered following the filing of the complaint in the above-captioned proceeding, all of the cargo transported by CPR for complainant Toyota de Puerto Rico Corp. from 2015 to present was tendered to CPR in Jacksonville, FL and moved from there to Puerto Rico.

5. All service provided to complainant by CPR in the trade from Jacksonville to Puerto Rico was provided pursuant to a contract. CPR did not and does not publish a tariff covering the trade from Jacksonville to Puerto Rico under the Shipping Act or FMC regulations.

Further affiant sayeth not.



Name: Jose Ayala

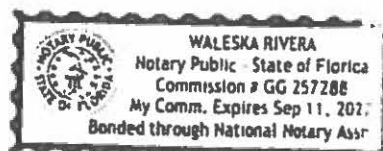
Title: Vice President – Caribbean Operations

Date:

State of Florida
County of Duval

The foregoing instrument was acknowledged before me this 28th day of February, 2019, by Jose Ayala.


Waleska RIVERA
Notary Public - State of Florida



Personally Know ☒

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 1st day of March, 2019, a true and correct copy of the foregoing Motion and Memorandum of Points and Authorities was served via email on:

Rafael Escalera Rodriguez (escalera@reichardescalera.com)
Sylvia M. Arizmendi (Arizmendis@reichardescalera.com)
Alana M. Vizcarrondo Santana (Vizcarrondo@reichardescalera.com)
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Wayne R. Rohde